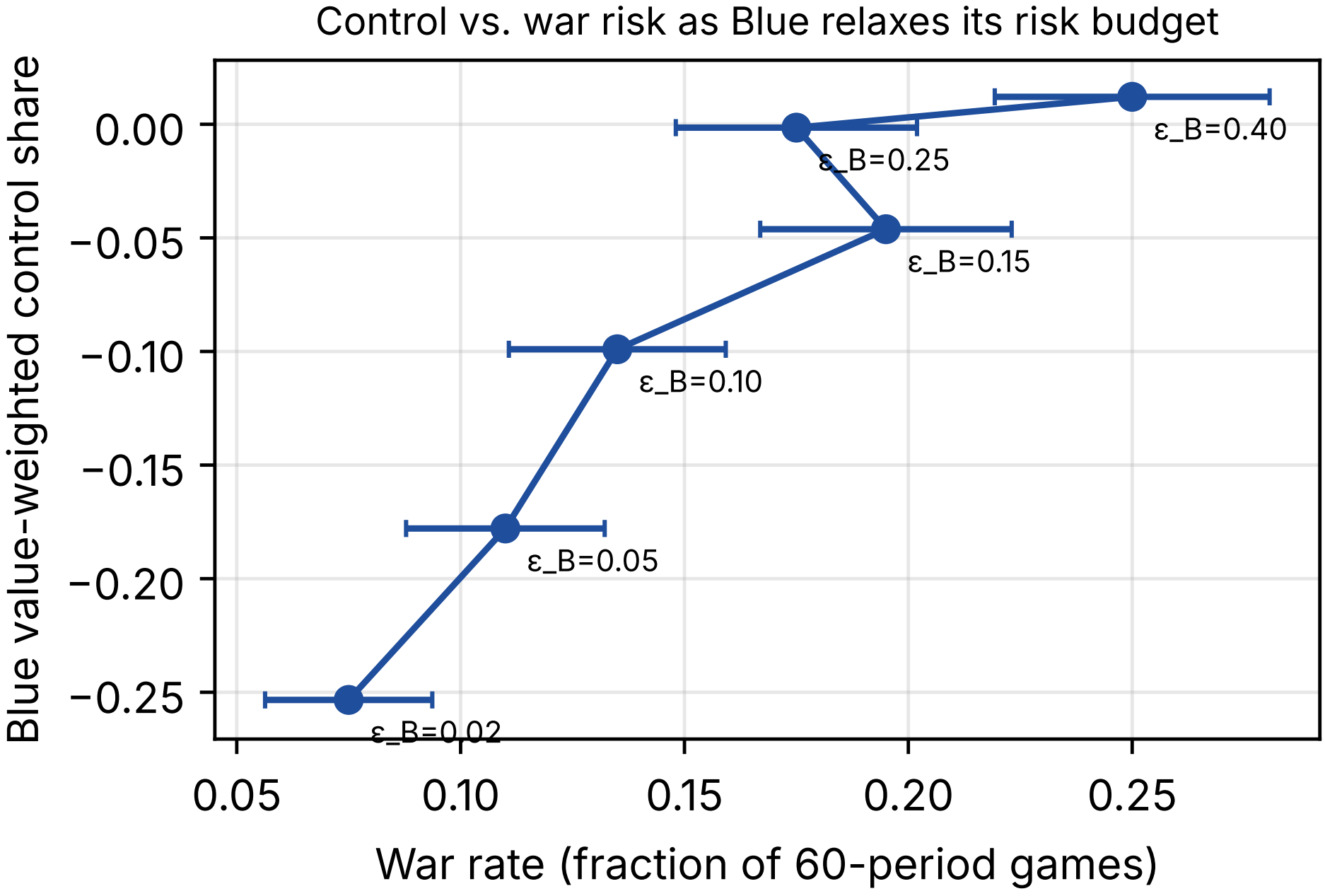
Control vs. war risk as Blue relaxes its risk budget
Blue value-weighted control share
0.00
−0.05
−0.10
−0.15
−0.20
−0.25
0.05
0.10
0.15
0.20
0.25
War rate (fraction of 60-period games)
ε_B=0.40
ε_B=0.25
ε_B=0.15
ε_B=0.10
ε_B=0.05
ε_B=0.02